

from the benchmark, however small a difference, is an active portfolio manager. The only question that remains is: How active is your portfolio?

## The Real Measure of Worth

In that famous speech about Graham-and-Doddsville, Warren Buffett said many important things, none more profound than this: “When the price of a stock can be influenced by a ‘herd’ on Wall Street with prices set at the margin by the most emotional person, or the greediest person, or the most depressed person, it is hard to argue that the market always prices rationally. In fact, market prices are frequently nonsensical.”<sup>41</sup>

It is profound because of where it leads us. If we accept the idea that prices are not always rational, then we are freed from the shortsightedness of using them as the sole basis for decisions. If we accept the idea that share price is not everything, we can broaden our horizon to focus on what counts: the thoughtful research and analysis of the underlying business. Of course, we always want to be aware of prices, so we can recognize when they dip below value, but we need no longer be strangled by this one-dimensional measure that can so seriously lead us in the wrong direction.

Making this shift will not be easy. Our entire industry—money managers, institutional investors, and all manner of individual investors—is price myopic. If the price of a particular stock is going up, we assume good things are happening; if the price starts to go down, we assume something bad is happening, and we act accordingly.

It’s a poor mental habit, and it is exacerbated by another: evaluating price performance over very short periods of time. Not only are we depending solely on the wrong thing (price), Buffett would say, but we’re looking at it too often and we’re too quick to jump when we don’t like what we see.

This double-barreled foolishness—this price-based, short-term mentality—is a flawed way of thinking, and it shows up at every level in our business. It is what prompts some people to check stock quotes every day, sometimes every hour. It is why institutional investors, with responsibility for billions of dollars, are ready to buy and sell at the snap of a finger. It is the reason managers of mutual funds churn the stocks in the fund’s portfolio at dizzying rates: They think it is their job to do so.